

Equity Research Report

Monolithisch India Ltd

Capacity expansion driving the future growth!

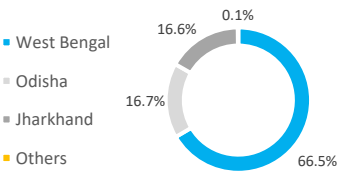
About the company

Monolithisch India Limited was founded in 2018 (listed in June, this year) as a part of the Mineral group of companies and has since then become the leading producer of premixed high-quality ramming mass manufacturer in India. Ramming mass is primarily used in induction furnaces installed in secondary steel manufacturing companies. The company is also engaged in the trading of its products on occasional basis to meet the excess and urgent requirement by its customers.

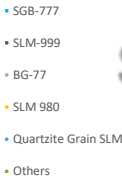
The company has expanded its product portfolio, incorporating advanced formulations to enhance thermal insulation and durability in induction furnaces. The product portfolio includes SGB-777, SLM-999, BG-77 , SLM-980, Quartzite Grain SLM-980 and other specialized formulations.

The major customers of the company are iron and steel producers located in Eastern parts of India, majorly in the states of West Bengal, Jharkhand & Odisha.

State Wise Revenue Breakup



Product Wise Revenue Breakup



Key Highlights

- The company got listed in June this year, however, it has been into operations since 2018 . Over the past three years , it maintained top line growth of ~59.3% and bottom-line growth of ~78.6%.
- In H1 of FY26 :
 - The company reported revenue of INR 57.28 crs, representing 40% growth YoY. This rise in revenue was majorly driven by the increasing sales of SGB-777, the company’s star product.
 - The company reported an EBITDA increase of 38% on a YoY basis, driven by operational efficiency and robust cost control.
 - The company’s PAT surged by 57% to INR 8.82 crs on a YoY basis on account of improved operational efficiency and margin optimization.
- Over the past three years, Gross Profit and EBITDA margins have been around 60% and 19%, respectively. On the other side, net profit margins have been around 13%. Going ahead, the management expects the margins to expand by 1% on account of improving operational efficiency.
- The company is looking for growth opportunities by inorganically acquiring potential companies under similar business lines across India to increase its market share and to achieve long term goals.
- The company is planning to increase its production capacity by 3x within the next 1 year. In Q2 of H1 company was operating at 1,56,000 MTPA and 96% capacity utilization.

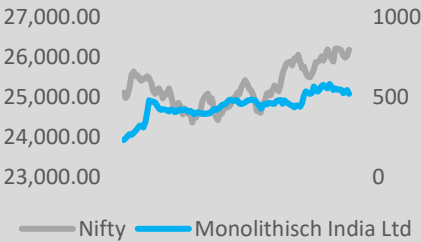


Recommendation	: XXX
CMP	: INR 520
Target	: XXX

Stock Data (as on Dec 6,2025)

NIFTY	: 26,186
52 Weeks H/L (INR)	: 607/219
Market Cap (INR Crs)	: 1129
O/S Shares (Crs)	: 2.17
Dividend Yield (%)	: 0
NSE Code	: MONOLITH

Relative Stock Performance – 6M



Absolute Returns (%)

6 Months	: 7.94%
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Shareholding Pattern (as on Sep,2025)

Promoters	: 74%
FII	: 2%
DII	: 2%
Public	: 21%

Financial Summary

IN INR Crs	FY25	FY26E
Net Revenue	97.00	140.00
YoY Growth (%)	41%	44%
PAT	14	22
EV/EBITDA	27.58x	32.50x

Prepared by : Sahil Gupta

Global Economy

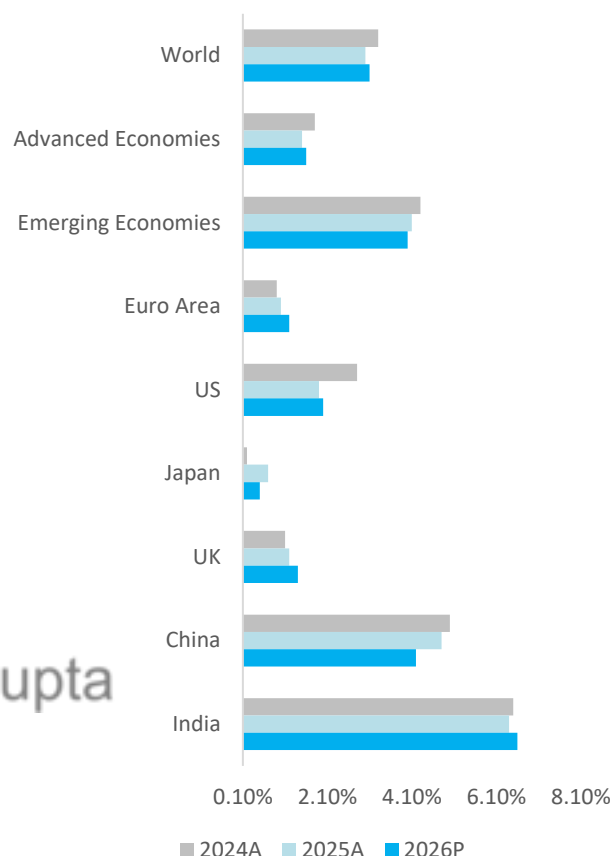
The global economy has not been doing well in recent times, mainly due to geopolitical tensions and uncertainty around tariffs. As per IMF's report, global growth is projected at 3% for CY25 and 3.1% for CY26. The forecast for 2025 is 0.2% point higher than that in the reference forecast of the April 2025 World Economic Outlook (WEO) and 0.1% point higher for 2026 which reflects stronger-than-expected front-loading in anticipation of higher tariffs; lower average effective US tariff rates than announced in April; an improvement in financial conditions, including due to a weaker US dollar; and fiscal expansion in some major jurisdictions. Global headline inflation is expected to fall to 4.2% in 2025 and 3.6% in 2026, a path similar to the one projected in April.

Growth in advanced economies is projected to be 1.5% in CY25 and 1.6% in CY26. In the United States, with tariff rates settling at lower levels than those announced on April 2 and looser financial conditions, the economy is projected to expand at a rate of 1.9% in 2025.

In the euro area, growth is expected to accelerate to 1.0% in 2025 and to 1.2% in 2026. This is an upward revision of 0.2% point for 2025, but it is largely driven by the strong GDP outturn in Ireland in the first quarter of the year. In emerging market and developing economies, growth is expected to be 4.1% in 2025 and 4.0% in 2026. Relative to the forecast in April, growth in 2025 for China is revised upward by 0.8% point to 4.8%.

Source – IMF WEO Report

Global GDP Predictions



Source – IMF WEO

India vs Global GDP Growth



Source – IMF & WORLD BANK

Indian Economy

Despite a volatile global economic landscape, the Indian economy became world's 4th largest economy surpassing Japan (as of July 2025). For FY26, the International Monetary Fund (IMF) has projected a growth rate of 6.6%, citing a robust 7.8% expansion in the first quarter that helped cushion the economy from global headwinds. The World Bank has forecasted 6.5%, supported by firm consumption, public investment, and structural reforms. The RBI is more confident, expecting growth closer to 6.8% on the strength of domestic fundamentals. The real GDP growth of 8.2% in the Q2 comes after the 7.8% expansion in the Q1. India's growth continues to outpace that of other major economies, such as Indonesia, which expanded by 5%, and China, which grew by 4.8% in the Q2.

India's growth story looks promising driven by robust expansion in manufacturing and services, supported by festive demand and GST rate cuts. The cumulative GST collection growth of 9% for the April to October period of 2025 indicates that the underlying revenue stream has remained strong.

Source – Mint

Steel Sector

The India Steel Market size is estimated at 148.28mn tons in 2025, and is expected to reach 230.03mn tons by 2030, at a CAGR of 9.18% during the forecast period (2025-2030). India is the world's second-largest producer of crude steel, with an output of 151.14 MT of crude steel and finished steel production of 145.30 MT in FY25. The growth in the Indian steel sector has been driven by the domestic availability of raw materials such as iron ore and cost-effective labor. Consequently, the steel sector has been a major contributor to India's manufacturing output.

On July 31, 2025, SAIL has approved a Rs. 7,500 crore (US\$ 875 million) capex for FY26, marking a 25% increase over the previous year, to expand capacity across its integrated plants, aiming to scale up to 35 MT per annum by FY30. Further, share of secondary steel plants including MSMEs in crude steel capacity in FY25 stood at 47%.

India's steel production capacity increased to 200.33 MT in FY25, and the figure is anticipated to rise to 300 MT by FY30. As of April 2025, India has huge iron ore reserves and can produce 700 MT per year and has the potential to be the second largest producer of iron ore globally.

In FY26 (April-July 2025), the exports and imports of steel stood at 1.7 MT and 1.67 MT, respectively.

Source – IBEF and Mordor Intelligence

Ramming Mass Industry

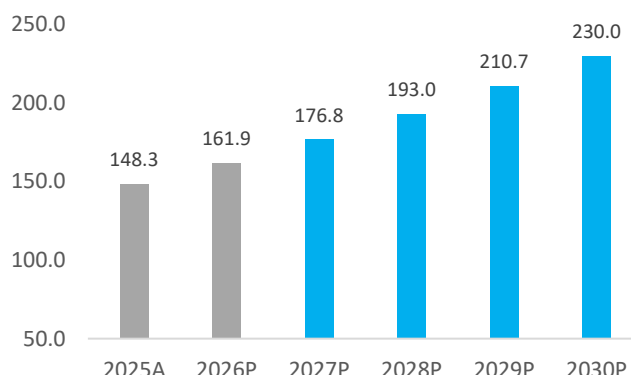
India's industrial growth, especially in the steel, foundry, and metallurgical sectors, is creating significant momentum for the ramming mass industry. Ramming mass is one of the critical components used in induction furnaces for lining.

With India poised to become one of the world's top steel producers, the demand for high-quality ramming mass is on a steady rise. The Indian ramming mass market is projected to grow at a CAGR of ~6-8% over the next decade.

The ramming mass industry in India stands at the cusp of transformation. Increasing steel production, growing exports, technological improvements, and environmental compliance are combining to drive strong growth.

Source – Company's website

Indian Steel Market Size (in Mn Tons)



Finished Steel Export and Import (in Mn Tons)



Source – IBEF and Mordor Intelligence

According to the World Steel Association, India is the second-largest producer of crude steel globally, and this strong growth is expected to continue. This rise directly boosts the demand for ramming mass, especially acidic silica ramming mass, which is predominantly used in steel melting through induction furnaces.

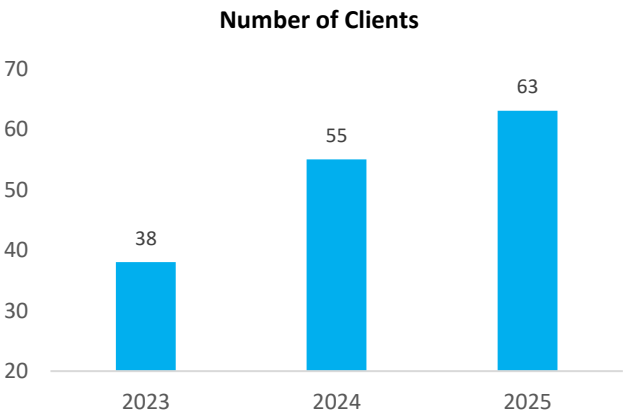
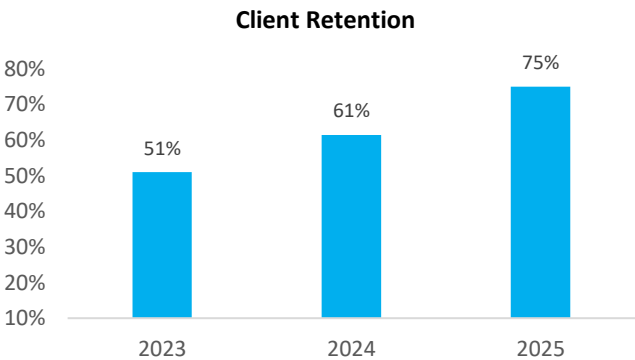
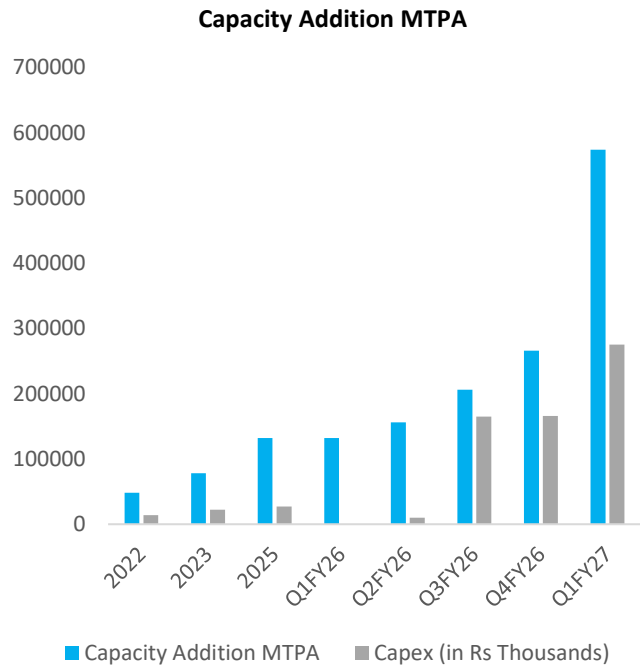
States like Rajasthan, known for their abundant high-purity silica reserves, are becoming hubs for leading ramming mass manufacturers in India, catering to both domestic and export markets.

By 2030, India's ramming mass exports are projected to increase by over 20%, provided consistent quality and logistical efficiency are maintained.



Quarterly Results Analysis – H1 FY26

- The company utilized its major chunk from the IPO proceeds (about Rs 44.46 crores) towards capacity expansion which is expected to reduce the cost and increase operating margins.
- The company has announced capex for two projects, that is, Rs16.57 crores in the parent company and Rs27.89 crores in Metallurgica, wholly-owned subsidiary. Together, these projects is expected to enhance the total capacity from 1,32,000 MT p.a. as of April 1, 2025, to 5,14,000 MT p.a. over the next eight months.
- The company has launched a strategic capex plan to expand its installed capacity to 5,74,000 MT by Q1 2027 , thereby becoming the largest Ramming Mass manufacturer.
- The company is targeting to achieve a 4x growth in revenue (CAGR FY25-28 : 60%) over the next three years, supported by innovation, market expansion, and digital transformation. As for FY26, it aims to achieve INR140 crores to INR160 crores.
- Over the last 2 years, EBITDA has grown at 77% CAGR reflecting strong operating efficiency. Going ahead, the company aims to continue this strong performance and is therefore aiming to achieve 5x growth in EBITDA (CAGR FY25-28 : 70%) by FY28.
- The company is also aiming to grow its PAT by 5x (CAGR FY25-28 : 74%) by FY28 and as for FY26, it is targeting a bottom line of INR ~22 – 24 crores.
- The company currently holds a market share of 8-9% and in the next couple of years, it is targeting to achieve 25-30%. Further, the current market size for ramming mass is currently around 3 - 3.5 lakh tons a month and by the time the company’s capacity expansion will be completed, the market would be around 4 - 4.5 lakh tons per month.
- Further, the company is looking to acquire unit near western part of India to tap exports from Mundra port and secondary steel manufacturers in western part of India.
- The management expects the margins to expand by 1% on account of improving operational efficiency.
- In November 2025, the company completed the acquisition of Mineral India Global Private Ltd (MIGPL) and thereby it became its wholly owned subsidiary. Following this acquisition, the company’s installed capacity stands at 2,63,000 TPA. MIGPL has a strong customer retention rate in Chhattisgarh and the central region.



Half Yearly Snapshot

Particulars (INR crores)	Sep-24	Mar-25	Sep-25
Sales	41	56	57
% Growth YOY		37%	2%
EBITDA	9	12	12
% Growth YOY		33%	0%
% Margins	22%	21%	21%
Other Income	0	0	1
Depreciation	1	1	1
Interest	0	0	0
Profit before tax	8	11	12
PBT Margin	20%	20%	21%
% Growth YOY		38%	9%
Tax	29%	23%	25%
Net profit	6	9	9
% Growth YOY		50%	0%

Source – Screener

Sahil Gupta

Annual Snapshot

Particulars (INR crores)	2020	2021	2022	2023	2024	2025
Sales	5	14	24	42	69	97
% Growth YOY		180%	71%	75%	64%	41%
EBITDA	1	1	4	7	13	21
EBITDA Growth YoY		0%	300%	75%	86%	62%
EBITDA Margins	20%	7%	17%	17%	19%	22%
Depreciation	0	0	0	0	1	2
EBIT	1	1	4	7	12	19
Interest	0	0	0	0	0	0
Other Income	0	0	0	0	0	0
Profit before tax (PBT)	0	1	4	6	12	19
% Growth YOY		0%	300%	50%	100%	58%
Tax	28%	28%	28%	28%	29%	25%
Net profit	0	1	3	5	9	14

Source – Screener

Monolithisch India Ltd



Commentary

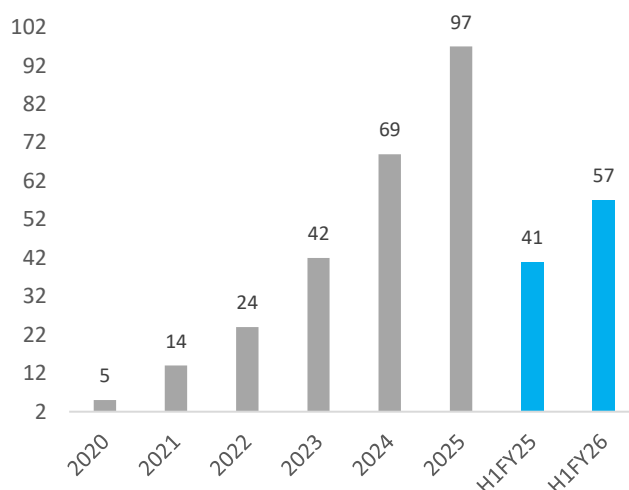
Revenue

The company achieved 40% revenue growth, rising from INR41 crores in H1 FY25 to INR57 crores in H1 FY26. Revenue 5 years CAGR stands at 81.1% whereas 3-year CAGR stands at 59.3%.

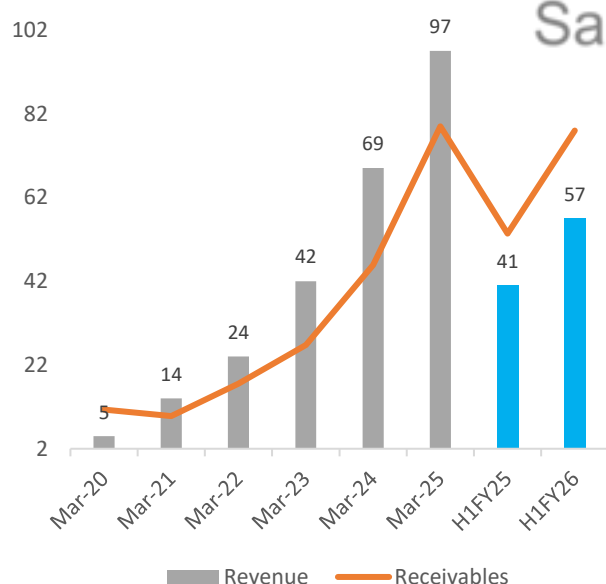
The company is planning to grow its revenue by four times (CAGR FY25-28 : 60%) over the next three years, supported by innovation, market expansion, capacity expansion, diversified client base and digital transformation. As for FY26, it aims to target INR140 crores to INR160 crores.

Further, the company is looking to acquire unit near western part of India to tap exports from Mundra port and secondary steel manufacturers in western part of India which further shall boost its top line growth.

Revenue (in crores)



Revenue vs Trade Receivables



Trade Receivables

The company has maintained a consistent receivable policy. The growth of receivables is in line with revenue. In last 5 years, company's revenue has grown significantly and it can be seen that company's revenue almost get doubled every year with receivables increasing in line with it. Going ahead, the company expects its receivables to increase more as it wants to give more credit period to the customers in order to retain and attract new customers by offering little higher credit cycle.

Basis on our research, we noticed that its peers' median receivable days are way higher than the company's receivable days. This further indicates that the company is performing better as compared to its peers in terms of receivables days.

Moreover, we noticed that company's trade receivables are due for less than 6 months which means the receivables are not at a significant risk of impairment.

Particulars	Mar-20	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Revenue	5	14	24	42	69	97
Revenue Growth YoY%		180%	71%	75%	64%	41%
Receivables	2	2	4	6	11	19
Receivables Growth YoY%		-16%	99%	59%	77%	76%
Receivable Days	170	52	59	54	58	72

Monolithisch India Ltd



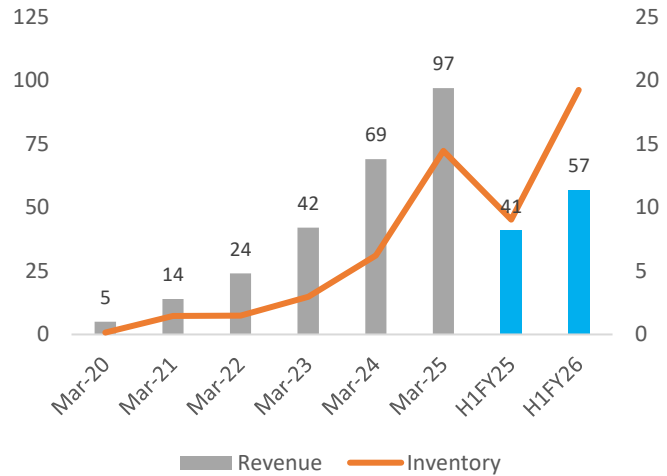
Commentary

Inventory

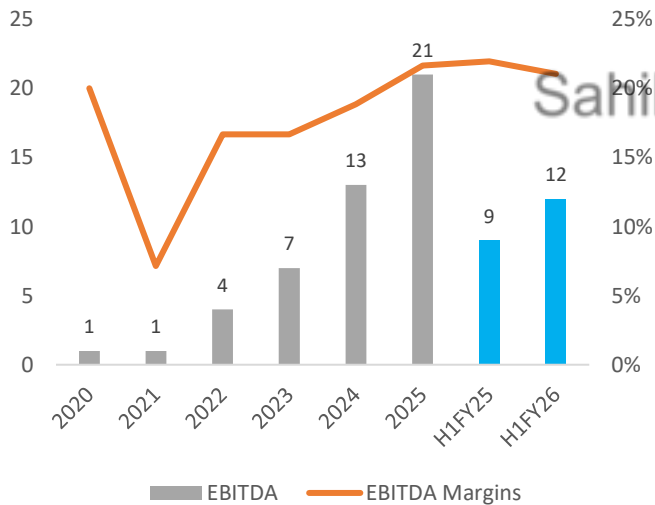
The company has maintained consistent inventory levels i.e. when revenues have increased, company's inventory levels has also increased. Moreover, the company's inventory days have been increasing from past 3 years which means company has enough stock in hand to meet out the consumer needs at the present.

Basis on our research, we noticed that its peers median inventory days are way higher than the company's inventory days. The company has incurred heavy capex for increasing its installed capacity, and as a result, its inventory days are likely to increase.

Revenue vs Inventory



EBITDA & EBITDA Margins



Margins

The company's EBITDA has grown by 300 bps from FY24 to FY25. In H1FY26, EBITDA margins declined slightly to 21% as compared to 22% in H1FY25. Management expects that going ahead margins are likely to increase by 1% on account of company cutting down its labor cost and achieving operating efficiency.

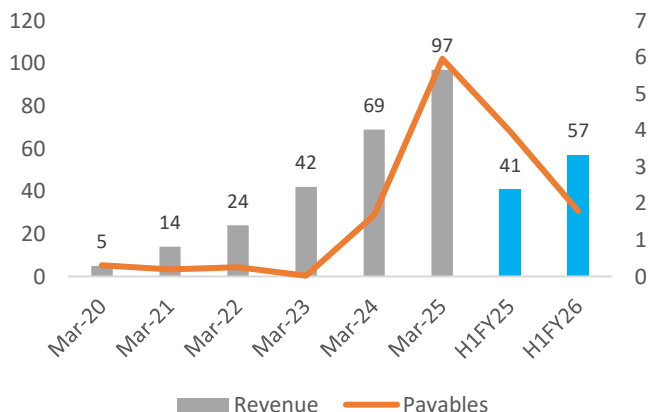
Trade Payables

The company's payable days aligns with the revenue. However, when we compare company's half yearly performance, it shows when sales have increased, payables have decreased and going ahead, management expects payables to decrease further.

Basis on our research, we found that company has median payable days of 19 which going ahead is expected to decrease. This is a positive sign which indicates that company is on track to efficiently managing its cash conversion cycle.

Additionally, we noticed that the company's trade payables are due for less than 12 months which means the payables are not at a significant risk of impairment.

Revenue vs Payables



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Monolithisch India Ltd



Ratio Analysis

Profitability Ratios	Mar-21	Mar-22	Mar-23	Mar-24	Mar-25
Sales Growth	175.6%	74.8%	74.0%	64.7%	41.2%
Expenses Growth	182.3%	55.1%	77.7%	59.2%	38.2%
Gross Profit Growth	155.8%	68.1%	77.1%	64.5%	31.9%
EBITDA Growth	144.8%	168.3%	76.9%	94.4%	60.6%
Net Profit Growth	167.7%	203.6%	80.2%	90.7%	65.8%

Efficiency Ratios

Debtor Turnover	7.1x	6.2x	6.7x	6.3x	5.1x
Inventory Turnover	9.5x	16.4x	14.0x	11.1x	6.7x
Net Fixed Asset Turnover	6.0x	11.4x	10.5x	11.3x	8.4x
Sales/Capital Employed	2.5x	3.3x	3.1x	3.2x	2.3x

Leverage Ratios

Debt/Capital	47.4%	25.5%	26.8%	12.6%	17.2%
CFO/Debt	-1.5%	59.4%	21.5%	143.3%	81.0%
Interest Coverage	39.3x	71.0x	49.4x	77.6x	67.4x

Capital Allocation Ratios

Return on Capital Employed	21.0%	48.4%	46.9%	58.1%	45.9%
EBIT Margins	8.4%	14.7%	15.3%	18.0%	20.1%
Return on Invested Capital	14.9%	35.4%	33.4%	41.1%	34.0%

Cash Ratios

Operating Cash Flow Growth	-95.7%	-2875.0%	-28.8%	389.9%	53.2%
Free Cash Flow Growth	12.7%	-41.8%	33.2%	-18.2%	35.0%
CFO/Total Assets	-0.6%	12.2%	4.9%	14.1%	10.6%

Monolithisch India Ltd



Relative Valuation & Outlook

Financial Data									Category
Company Name	Market Cap [Rs.Cr.]	Total Debt	Cash	EV	Sales	EV/EBITDA	P/E	EV/SALES	
Monolithisch India Ltd	1,129.4	-	0.3	1,129.1	97.0	44.0x	64.2x	11.6x	Target
RHI Magnesita India Ltd	9,223.4	415.0	99.2	9,539.2	3,674.0	21.7x	58.6x	2.6x	A
Raghav Productivity Enhancers Ltd	4,576.5	6.3	9.2	4,573.5	200.0	69.8x	100.7x	22.9x	A
Narrow Set - Low	4,576.5	6.3	9.2	4,573.5	200.0	21.7x	58.6x	2.6x	
Narrow Set - 25th percentile	5,738.2	108.4	31.7	5,814.9	1,068.5	33.8	69.1	7.7	
Narrow Set - Average	6,899.9	210.6	54.2	7,056.4	1,937.0	45.8x	79.6x	12.7x	
Narrow Set - Median	6,899.9	210.6	54.2	7,056.4	1,937.0	45.8x	79.6x	12.7x	
Narrow Set - 75th percentile	8,061.7	312.8	76.7	8,297.8	2,805.5	57.8	90.2	17.8	
Narrow Set - High	9,223.4	415.0	99.2	9,539.2	3,674.0	69.8x	100.7x	22.9x	

The company has recently got listed and has strong plans of growing its business ahead. Prior to listing as well, the company was registering a robust growth in top line and bottom line.

The pre ramming mass industry is currently around 3-3.5 lakh tons of ramming mass per month and in next couple of years, it is expected to be around 4-4.5 lakh tons per month. This depicts that the company has huge headroom for growth in coming years and for the same it is increasing its installed capacity and is further aiming to achieve a market share of ~25% - 30%.

The management also mentioned that the company doesn't have any concentration risk as over the time its client base has increased and in coming years, it is likely to attract more clients as unorganized players from the market gets kicked out.

Further, the company is likely to get operating leverage as it increases its capacity utilization. The management also mentioned that the company's margins may expand by 1% as it focuses on reducing its labor cost and achieving operational efficiency.

	EV/EBITDA	P/E
Narrow - Median	45.8x	79.6x
Target EBITDA	21	21
Target Sales	97	97
Target Relative Pricing - Narrow	961.2	7725.6

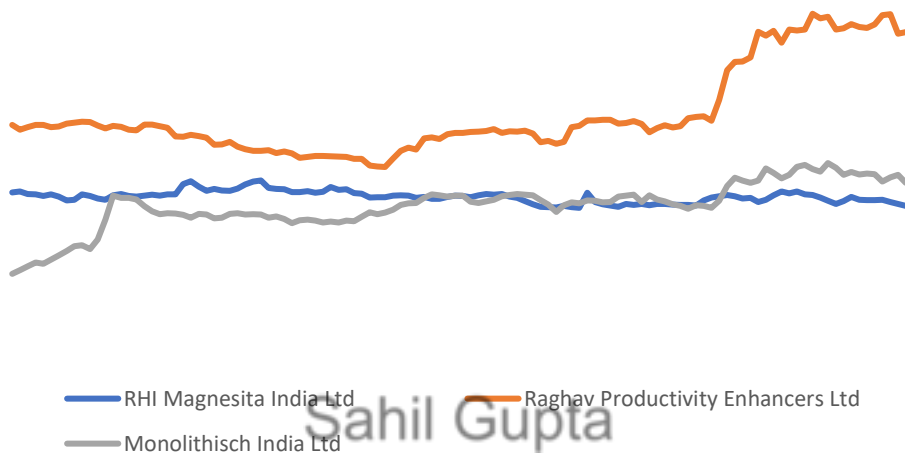
Based on relative pricing, Monolithisch India Ltd seems to be undervalued, because it's EV/EBITDA and P/E are less than the industry median and additionally the robust guidance given by the management positions it well amongst its peers.

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6 Month Stock Performance - Indexed

Peers Price Performance



Source – Investing.com

Peers Financial Performance

Name	CMP Rs.	Market Cap Rs.Cr.	P/E	Debt / Eq	EV / EBITDA	Int Coverage
Monolithisch India Ltd	519.6	1129.4	64.24	0	43.96	61.87
Raghav Productivity Enhancers Ltd	996.8	4576.5	100.67	0.03	69.8	72.43
RHI Magnesita India Ltd	446.65	9223.39	58.62	0.1	21.74	6.05

Source – Screener

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